



Chiara  
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*Behind the Peg*  
*Stablecoin Insider's Series*

# How to Launch a Stablecoin

*+ case study of M<sup>0</sup> Protocol*

Institution (Issuer)



- 1. Acquire M from approved Minters
- 2. Wrap into Branded Stablecoin (e.g., BankUSD)
- 3. Distribute to users

User / Merchant / DeFi

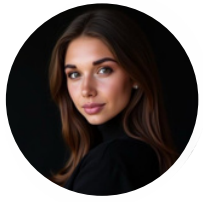
- 4. Transactions settle in M-backed token
- 5. Issuer can redeem M to unwind supply

M<sup>0</sup> Protocol & Validators

- 6. Ensure base collateral integrity
- 7. Feed data to governance & auditors



**FULL GUIDE**



As of November 2025, DefiLlama tracks **300+ live stablecoins** across networks, with aggregate supply exceeding **\$300B**.

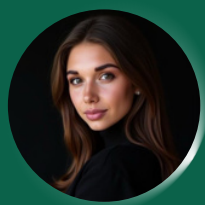
Inside here:

1. Define the purpose and peg model
2. Choose jurisdiction-specific compliance
3. Set governance and risk controls
4. Map the core tech stack
5. Define distribution rails and marketing
6. Plan soft launch/full launch

*Enjoy the reading.*







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# Define the Purpose & Monetary Design

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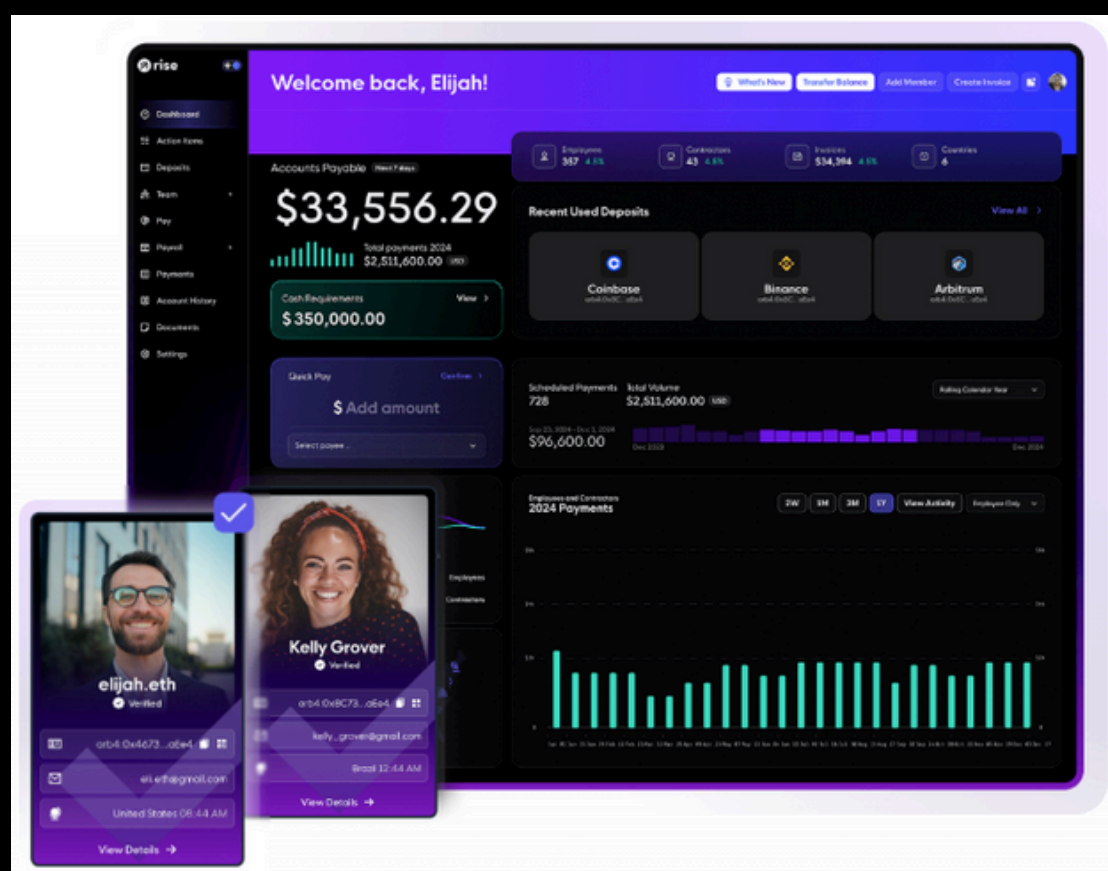
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### Clarify the “why”

Why are we issuing a stablecoin? Is it for payments, treasury optimization, global settlements, loyalty programmes, marketplaces, banking rails?

### Example with Rise:

If your business is an international payroll provider, your stablecoin purpose might be “fast, low-cost payouts to workers globally in a USD-equivalent token”.



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## Choose the model of **price stability**

- **Fiat-backed:** You hold 1:1 cash or short-term treasuries, issue 1 token = \$1.
- **Crypto-collateralised:** You lock crypto assets, issue tokens backed by crypto (often over-collateralised).
- **Algorithmic:** Algorithmic coins are typically not fully collateralized, they rely on supply/mint/burn rules (sometimes partially or over collateralized)

Your choice affects risk (collateral risk, redemption risk), compliance, user trust, and operational complexity.





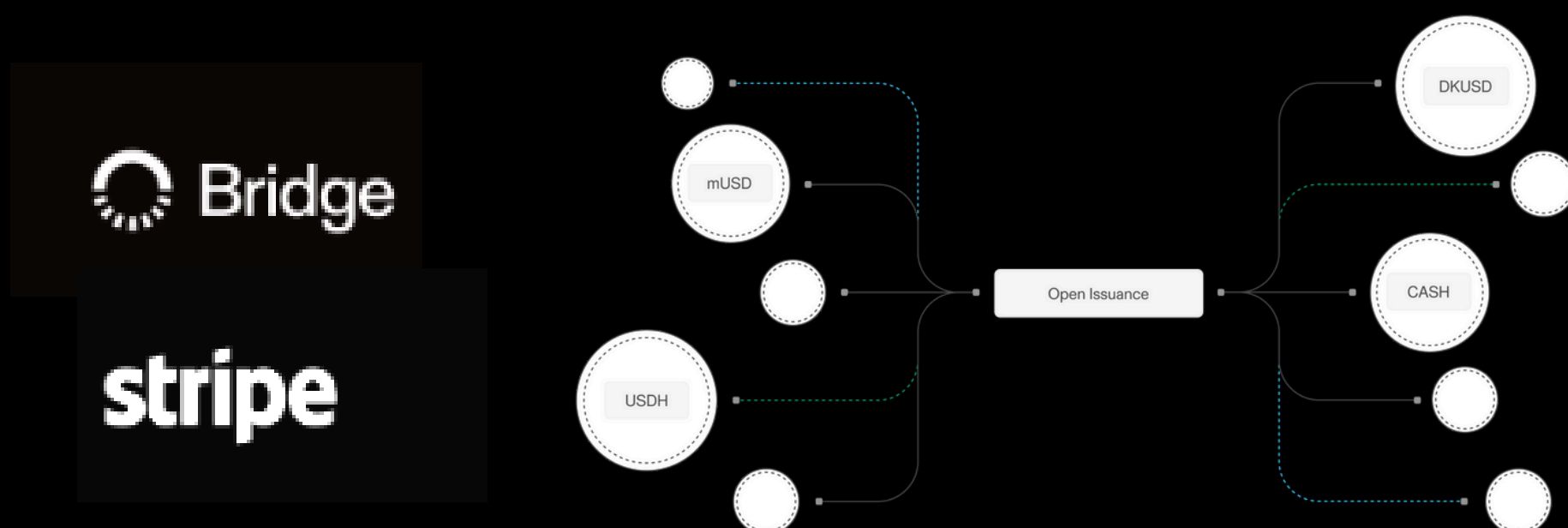
## Map your key **value proposition**

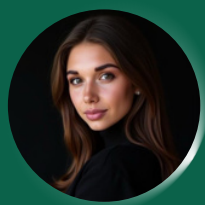
What advantages will your stablecoin bring compared to using an existing coin:

- *Own brand, control over economics (yield, fees).*
- *Tailored to your user base (industry, geography).*
- *Integration with your product stack (wallets, cards).*

## Example with **Open Issuance**:

“ Businesses using Open Issuance plug into a shared liquidity network to reduce costs and get to market quickly “





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# Legal, Regulatory & Compliance Foundation

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## Choose **jurisdiction** & **entity** structure

Decide **where** you will register the issuing entity (country, state) and **which regulatory regime applies** (e-money, payment institution, trust, VASP).

Some jurisdictions are more stable/friendly for stablecoins; others are uncertain.

You must consider cross-border flows: where your users are, where you distribute/ redeem.

- **US** → pick bank/trust partner or MTL route + do monthly attestations (industry practice, not mandatory, can be required by some supervisors)
- **EU** → treat it as e-money (EMT) under MiCA, get/partner for an EMI.
- **UAE** → Consider ADGM (FRT framework) or DIFC (DFSA Crypto Token regime) authorization, and ensure compliance with CBUEA PTSR if mainland





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### ***Brief Overview for licensing and regulatory compliance***

| Topic                 | United States                                            | European Union                                      | United Arab Emirates                                       |
|-----------------------|----------------------------------------------------------|-----------------------------------------------------|------------------------------------------------------------|
| <b>Main rulebook</b>  | State Money Transmitter rules (MTL) + bank/trust options | MiCA (EMT/ART)                                      | ADGM/FSRA (and DIFC/DFSA) guidance + CBUAE                 |
| <b>Who can issue</b>  | MTL holders or banks/trusts                              | EMI (Electronic Money Institution) for euro EMTs    | ADGM/DIFC-authorized firms (often via SPV)                 |
| <b>What you issue</b> | USD stablecoin (fiat-backed)                             | EMT (e-money token) pegged 1:1 to fiat (EUR)        | Fiat-backed payment token (AED/USD focus)                  |
| <b>Reserves</b>       | 100% cash/T-bills, segregated                            | 100% backing, safeguarded at EU credit institutions | 100% high-quality liquid assets; bankruptcy-remote favored |
| <b>Redeemability</b>  | At par (1:1) in USD                                      | At par, daily, in fiat (EUR)                        | At par via authorized custodian/bank                       |
| <b>Transparency</b>   | Monthly attestations/audits expected                     | Whitepaper + ongoing disclosures/audits             | Periodic regulator reports/attestations                    |
| <b>KYC/AML</b>        | BSA/AML + OFAC screening                                 | EU AML rules + sanctions                            | UAE AML/CFT + sanctions                                    |
| <b>Fastest path</b>   | Partner with bank/trust or an issuance platform          | Obtain/partner for EMI and passport under MiCA      | Set up ADGM/DIFC SPV, authorize with FSRA/DFSA             |

## How to Launch a Stablecoin





## Choosing **collateral** & **reserve** policy

Decide: what assets back the token? Cash? Short-dated treasuries? Crypto? Hybrid?

Reserve safeguarding: Where are reserves held (custodian bank, trust, smart contract vault), insolvency segmentation, segregation of funds.

### Example with **Open Issuance**:

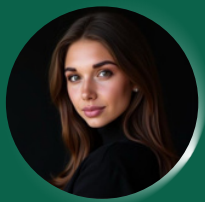
The Bridge/Open Issuance product allows the issuer to customise the exact **mixture of reserves** that back your stablecoin (allocations can be balanced between cash and treasuries through top-tier partners including BlackRock, Fidelity Investments and Superstate)



Bridge

**stripe**





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# Governance, Risk-Controls & Peg Stability Mechanisms

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## Governance Model

Define **who** controls the system: a company (centralized), a foundation with multi-sig signers (hybrid), or a DAO (decentralized).

**Governance** must clearly cover: reserve policy, custodian changes, emergency actions (freeze/unfreeze), contract upgrades, and audit approvals.

Always define **roles**: Issuer, Custodian, Auditor, Validator, and Governance body rights.

### **Example:**

Paxos, the issuer of PYUSD, operates under NYDFS supervision and reports reserve attestations monthly. Its governance is a hybrid model: Paxos Trust Company manages issuance under regulator oversight, while PayPal governs brand, distribution, and consumer protection.





## Peg Maintenance & Incentive Structures

**Arbitrage** only works if verified participants can always mint at \$1 against collateral and redeem at \$1 back to fiat (or equivalent).

For **stability**, the more places the token is used, the more demand anchors its price to \$1.

\***Arbitrage** = buying low, selling high

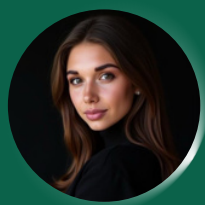
- Fixing the price only works if you can mint and redeem easily

Together, arbitrage + real-world utility = contribute towards a stable \$1 stablecoin

| Stablecoin   | Issuer / Model                            | What backs it                            | Redemption (primary)                                    | Where it runs (examples)                   |
|--------------|-------------------------------------------|------------------------------------------|---------------------------------------------------------|--------------------------------------------|
| <b>PYUSD</b> | Paxos for PayPal (custodial, fiat-backed) | Cash & short-term U.S. Treasuries (1:1)  | 1:1 redemption for eligible customers via Paxos/PayPal  | Ethereum, Solana (and within PayPal/Venmo) |
| <b>USDC</b>  | Circle (custodial, fiat-backed)           | Cash & short-dated U.S. Treasuries (1:1) | 1:1 mint/redeem for eligible institutions (Circle Mint) | Many chains (like Ethereum, Solana, Base)  |

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# Technical Architecture & Core Systems

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## Smart **contracts** / **token** infrastructure

*What to consider:* pick chains (EVM/non-EVM), stick to widely adopted standards and plan for upgradeability and interoperability so your coin can live across multiple networks without liquidity fragmentation.

### **Example:**

USDC is natively supported on 28 blockchains (Ethereum, Solana, Base, OP Mainnet, Linea, ZKsync, XRP Ledger, etc.), and Circle also documents a Bridged USDC Standard so EVM chains can adopt a consistent, upgradable pattern before native issuance.

\$46.49T+

all-time volume<sup>2</sup>



1000+

banks, blockchains, distributors, and other partners





## Reserve & mint/burn mechanics

What to consider: enforce 1:1 minting after collateral/KYC, par redemptions, clear SLAs/fees, and publish regular reserve reports so primary market flows anchor the peg.

### Example:

Paxos reiterates 1:1 redemption, bankruptcy-remote reserves under NYDFS oversight, and provides a dedicated mint & redeem flow for institutions, giving transparent rules for primary issuance and burn.



# Mint and Redeem Paxos-Issued Stablecoins

Institutions can access PayPal USD (PYUSD) and Pax Dollar (USDP) with zero fees, unlimited liquidity and 1:1 redemption by setting up an institutional account with Paxos







## Oracles, attestation & transparency

What to consider: pair periodic attestations with machine-readable, independent feeds (Proof-of-Reserve) so users and integrators can continuously verify backing, not just monthly.

### Example:

TrueUSD's uses Chainlink PoR for continuous reserve checks, and the live TUSD PoR data feed (Ethereum mainnet) lets anyone monitor reported backing in real time.





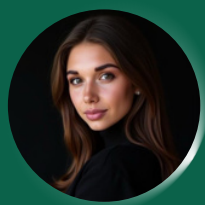
## Liquidity & distribution rails

*What to consider:* maximize real-world spendability via card networks, exchanges, PSPs, and on/off-ramps, prioritizing regions you serve

### *Example:*

Shopify announced native USDC acceptance for merchants via partnerships with Coinbase and Stripe, bringing stablecoin checkout, instant settlement on Base/Polygon and PSP-grade tooling for enterprise commerce.





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# Distribution, Partnerships & Market Strategy

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## Identify channels of **distribution**

It is important to **define how your stablecoin reaches users**: merchant acceptance (checkout, POS, online), wallets (mobile, embedded apps), payment rails (cards, bank wires), market makers/exchanges (liquidity pools, CEX listings), fiat ↔ coin on/off-ramps.

### **Example:**

Visa announced a stablecoin prefunding pilot via Visa Direct, which allows businesses to pre-fund using stablecoins for global payouts. This shows distribution through a major payment network using stablecoins in real business flows.

#### **Q: What is Visa Direct?**

Visa Direct is Visa's real-time payments platform, enabling fast, secure payouts worldwide.

#### **Q: What's new about this pilot?**

This is the first time Visa Direct is utilizing stablecoins. Instead of only using fiat, businesses can now prefund Visa Direct with stablecoins.





## **Partnerships and ecosystem building**

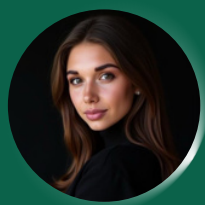
It is important to **build alliances** with wallet providers, banks, fintechs, card networks; integrate with product lines (marketplace, payroll, rewards) to **embed** your stablecoin into users' workflows.

## **Marketing & adoption incentives**

It is important to **launch with user incentives** (early-user rewards, loyalty bonuses, referrals), embed coin use-cases into the product (discounts for using coin, staking yields, rewards). Leverage the community to **bootstrap liquidity** and adoption.







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# Launch & Scale

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## **Pilot phase / soft launch**

Run a limited, regulator-friendly pilot to prove mint/burn, redemptions, and UX before a general rollout.

### **Example:**

BBVA pilots a bank-issued stablecoin on Ethereum via Visa's VTAP.

BBVA is one of the first banks using Visa's Tokenized Asset Platform, with live pilots scheduled for 2025 to issue a fiat-backed token on public Ethereum for select customers.

BBVA has been working in the VTAP sandbox throughout this year and has been testing core VTAP sandbox functionalities including the issuance, transfer and redemption of a bank token on a testnet blockchain, as well as interactions of the token with smart contracts with the goal of launching an initial live pilot with select customers in 2025 on the public Ethereum blockchain.

**VISA**



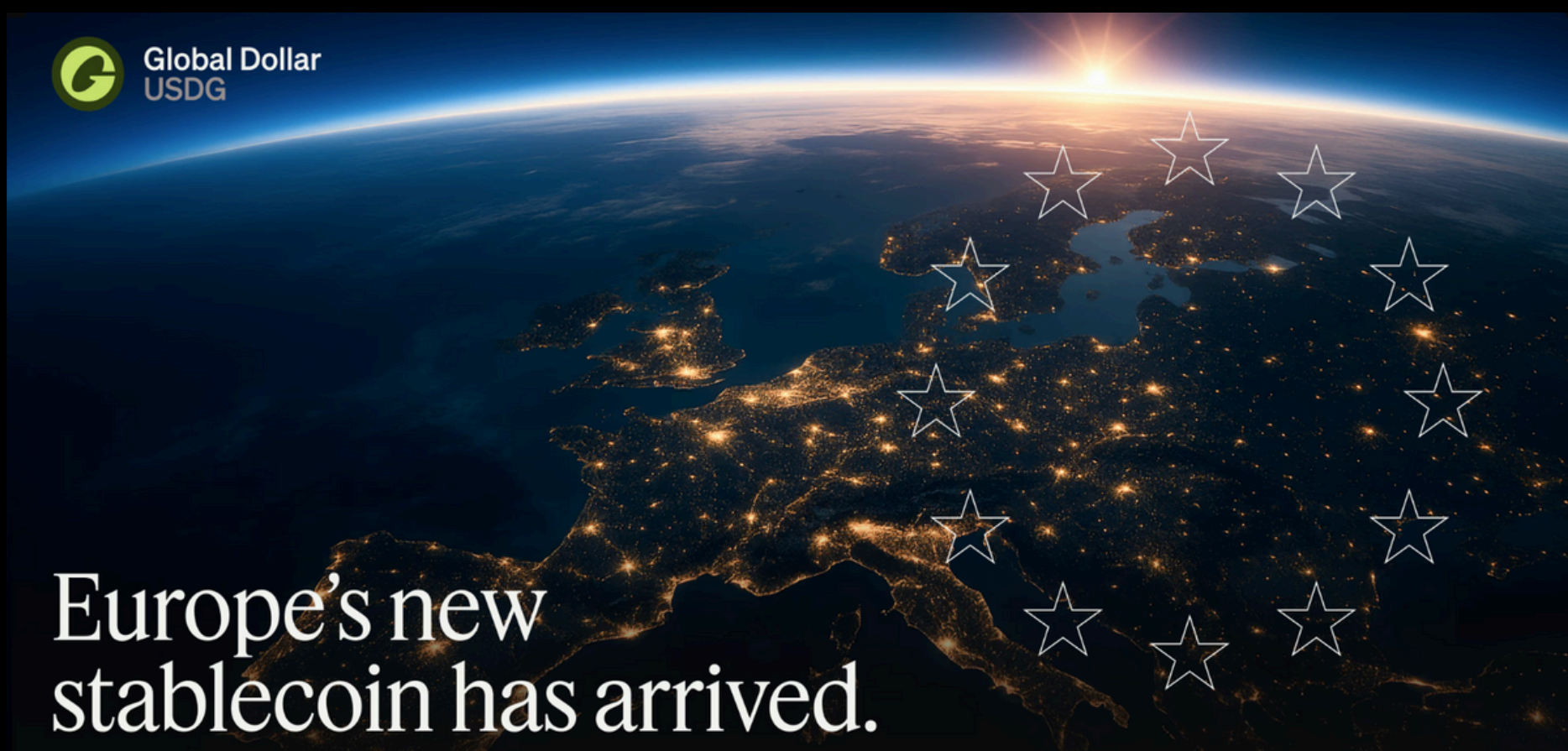


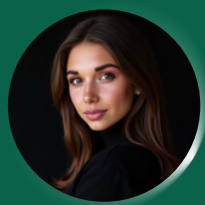
## Full launch

Go live on major rails/exchanges with clear redemption rules, then widen geography and use-cases.

### **Example:**

Paxos's USDG launches in the EU under MiCA alignment. Global Dollar (USDG) became available in the EU and listed on Kraken and Gate.





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# **MO:** the universal stablecoin platform

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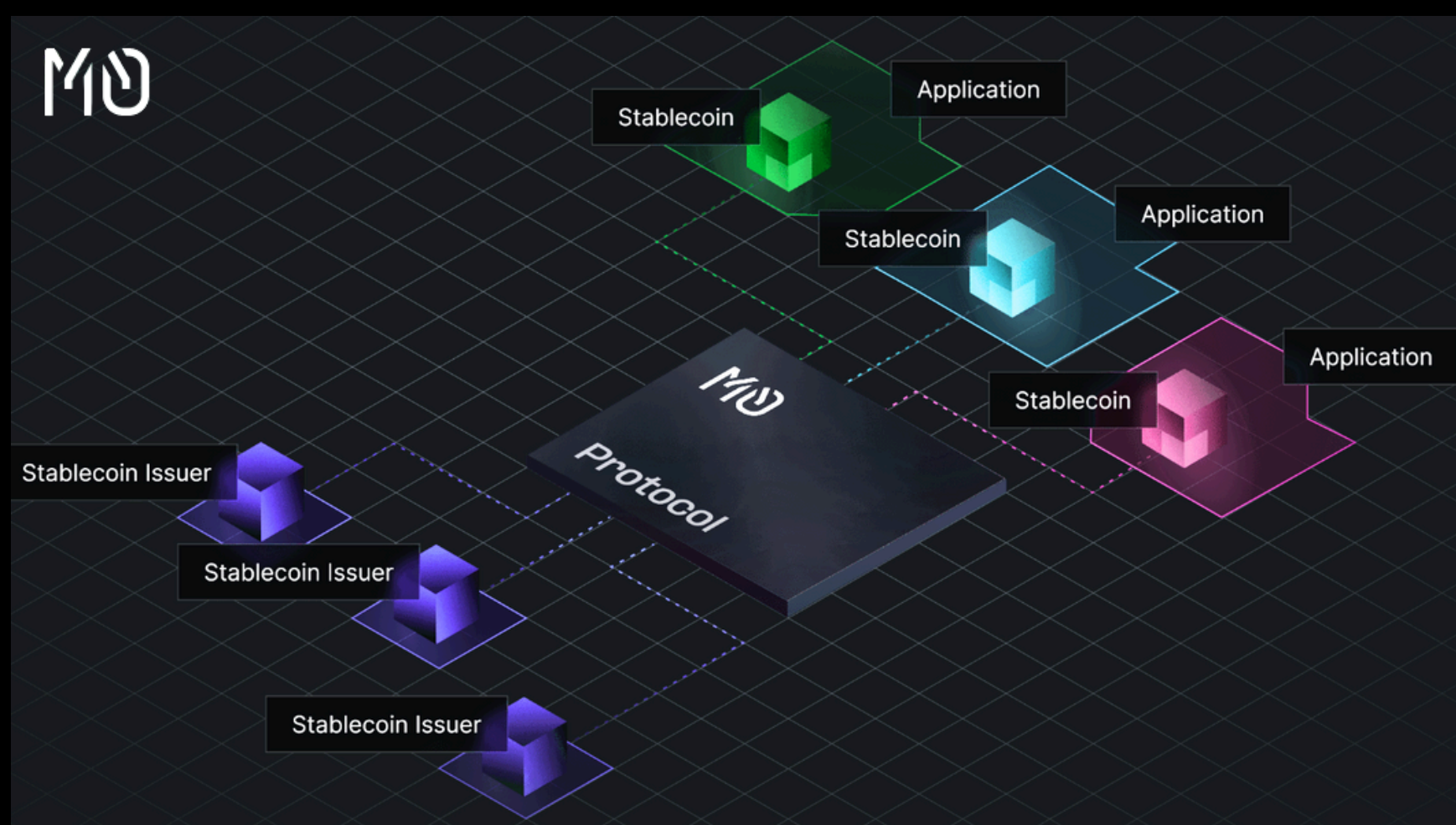




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**M0** is the infrastructure powering builders of safe, programmable, interoperable stablecoins.

Instead of one company issuing one token, **M<sup>0</sup>** acts as a coordination layer for many licensed actors, called **Minters**, who can create a fungible token called **M**, fully backed by real-world collateral.



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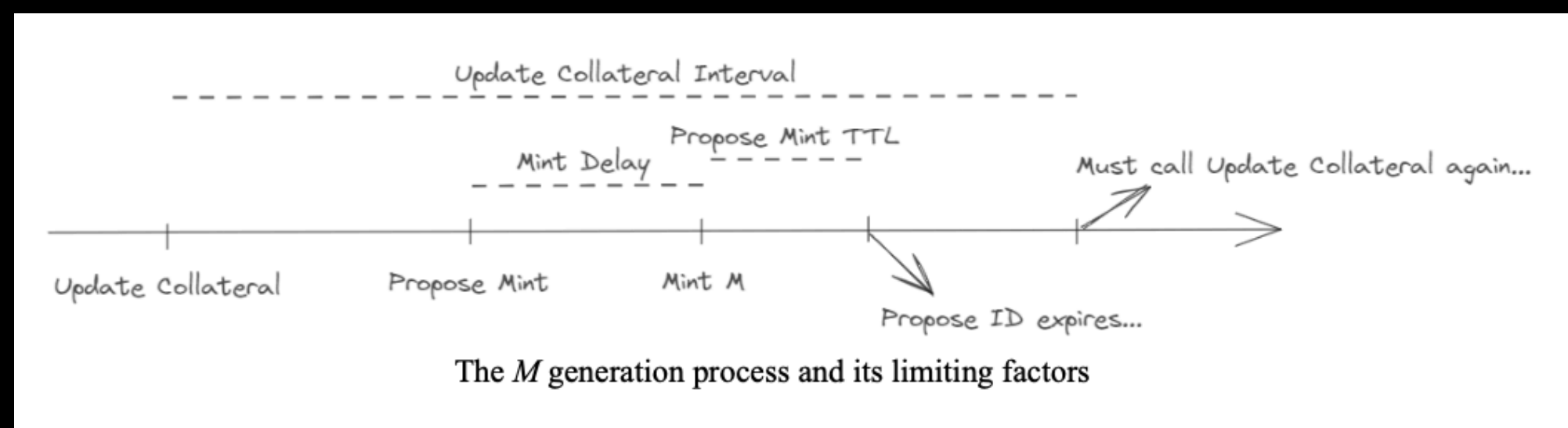
## The Core Concept

**M** (the token) is not positioned as a branded stablecoin like USDC or Tether.

It's a **base monetary primitive** = a digital equivalent of cash that any regulated issuer can “wrap” into its own product.

For example, a bank, PSP, or fintech could issue its own branded stablecoin backed 1:1 by M.

This is why the team calls **M** “*raw material for value representation.*”





# ***The Main Actors***

| Role                    | Function                                                               | Example                               |
|-------------------------|------------------------------------------------------------------------|---------------------------------------|
| <b>Minters</b>          | Institutions permitted to generate or destroy M by posting collateral. | Issuing banks or stablecoin companies |
| <b>Validators</b>       | Entities that verify and sign off on off-chain collateral statements.  | Auditors / attestation firms          |
| <b>Earners</b>          | Addresses that receive yield (Earner Rate) from Minters' fees.         | Liquidity providers / depositors      |
| <b>Governance (TTG)</b> | Two-token governance system that sets rules and permissions.           | Central bank + parliament combo       |





## *In Practice: What **Issuing** Through M<sup>0</sup> Looks Like*

1. Institution applies to become a **Minter** (passes KYC and governance approval).
2. **Deposits** T-bill collateral via a licensed custodian SPV.
3. **Validators** attest, collateral value updated on-chain.
4. Minter **proposes** mint → Validators review → mint executed.
5. **Generated** M can be distributed or wrapped into a stablecoin product.
6. **Earnings** and **penalties** flow automatically via smart contracts.
7. Governance and audits maintain neutrality and trust.







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# Good knowledge is built together.

Feel free to send me feedback, ideas, topics you would like to read more, or directly collaborate with me on the next post.

**Share if you find this valuable.**



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